

Board of Directors Package

Pinecrest Specialty Foods — Q4 2023

Board Meeting: February 6, 2024 | Confidential — Board Use Only

Date	February 6, 2024
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, S. Chen (Atlas Crossing); C. Nakamura (CEO); T. Reid, P. Kim (Independent)
Management	C. Nakamura (CEO); R. Osei (CFO); A. Brennan (CMO); P. Walsh (COO)
Deal Team	M. Tang (MD), D. Okafor (Principal), J. Mendez (VP), S. Liu (Associate)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

Executive Summary

Pinecrest Specialty Foods delivered Q4 2023 revenue of \$122.3M and EBITDA of \$15.9M (13.0% margin), ahead of budget by 3.0%. Atlas Crossing IC approved beginning exit preparation, targeting a sell-side process in Q4 2025.

Financial Performance

Metric	Q4 2023 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$122.3M	\$118.7M	+3.0%	\$102.7M	+19.1%
Gross Profit	\$47.1M	—	—	—	—
Gross Margin %	38.5%	—	—	—	—
EBITDA	\$15.9M	\$15.1M	+5.3%	\$13.1M	+21.4%
EBITDA Margin %	13.0%	—	—	—	—
D&A	(\$3.5M)	—	—	—	—
EBIT	\$12.4M	—	—	—	—
Interest	(\$6.7M)	—	—	—	—
Net Leverage	6.1x	—	—	Entry: 7.2x	—
LTM EBITDA	\$54.8M	—	—	Entry: \$37.7M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Target
Retail Distribution Points (K)	56.7	38.0	Target: 72.0
Better-for-You % of SKUs	31.2	18.0	Target: 42.0
Manufacturing Facilities	6.0	4.0	Target: 6.0
On-Shelf Availability %	96.6	95.2	Target: 97.8

Strategic Initiatives

Initiative	Status	Detail
Coastal Provisions integration	In progress	Day-1 IMO established; systems cutover target Q1 2024
BFY milestone	Achieved	BFY at 38% of SKUs — ahead of 35% target
Foodservice channel	Scaling	Aramark + Compass Group accounts; foodservice now 8% of revenue
Exit preparation scoping	IC approved	IC approved Q4 2025 exit; banker shortlist active

Key Risks & Mitigation

Risk	Severity	Mitigation
Coastal integration	Low	Seafood specialist; clean DD; strong Day-1
Input cost normalization	Positive	Commodity costs -12% YoY; margin expansion accelerating
Exit market conditions	Low	Consumer branded food M&A very active; premium multiples for BFY

Next Quarter Outlook

Q1 Q1 2024 expected \$122.1M. Coastal Provisions integration complete Q1 2024. BFY targeting 40% by YE 2024. Houlihan Lokey engagement target Q1 2024.

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